> Did Drexel do itself in? Or was it done in? The truth is that this was a case of suicide—and murder. So potent had the firm become that employees truly believed they could do whatever they wanted without fear of retribution. That's why they could threaten Fortune 500 corporations with takeovers and never expect political retaliation. And that's why they could leverage themselves and their clients to the hilt without preparing for the day debt would go out of fashion. Says a former officer: "You see, we thought, 'We are invulnerable.'"

If they had been intellectually sensitive and acute, neither Mr. Milken nor his corporate associates would have accepted the risk of enduring personal and public disgrace. Money once again misled.

That the crash of 1987 and its results were predictable, well in the established pattern, I can avow, for, as I have earlier noted, I ventured the relevant prediction. In early 1987, I dealt with it and the parallels with 1929 in the *Atlantic* and spoke of a "day of reckoning…when the market goes down seemingly without limit," adding reference to a truth here more than sufficiently celebrated: "Then will be rediscovered the oldest rule of Wall Street: Financial genius is before the fall."

I also suggested in the article, however, that the crash, when it came, would be less devastating in its economic effect than that of 1929. Here there had been change. A welfare system, farm-income supports in what was no longer a predominantly agricultural economy, trade-union support to wages, deposit insurance for banks (and similarly for the S&Ls), and a broad Keynesian commitment by the government to sustain economic activity—things all absent after the 1929 crash—had lent a resilience to the economy. There was, in consequence, a lessened vulnerability to serious and prolonged depression.

The aftermath of the 1987 debacle saw an especially notable exercise in evasion even by the formidable standards of the past. The first response came from a convocation of former Secretaries of the Treasury, professional public spokesmen, and chief executive officers of major corporations. They joined in sponsoring a *New York Times* advertisement attributing the crash to the deficit in the budget of the federal government.